

DISSOLUTION OF A PARTNERSHIP (1)

A partnership might cease trading. When this happens, the partners are said to dissolve their partnership and liquidate the firm.

The following might happen:

- i. Some assets of the firm are sold at a profit or loss which must be shared between the partners in their profit sharing ratio.
- ii. Other assets might be taken by the partners in part settlements of their capital.
- iii. Liabilities are paid (though some might be accepted by a partner thus increasing his capital balance).
- iv. Finally, the balance on the capital owed to the partners is paid off using the remaining assets of the business. Alternatively, a partner might have to pay cash into the business if there is a debit balance on his capital account.

REALISATION ACCOUNT

A Realisation account is used to calculate the profit or loss on disposal of assets.

All Assets to be sold and those taken over by partners at agreed values are transferred into the account at their carrying amounts.

(as debit balances). Note that for non-current assets this will be cost less accumulated depreciation. ②

The ~~account~~ is credited with proceeds of sale and value of assets taken over by partners. Any profit (loss) on the account is then transferred to partners' capital in the profit share ratio.

Realisation Account

	£		£
Non-current Assets at carrying amount	x	Proceeds from selling Assets taken by Partners (at an agreed value)	x
Current Assets			
Inventory	x		
Receivables	x		
Costs of Dissolution	x		
Profit to partners' capital in the profit share ratio	x		
	xx		xx

Illustration

A and B are partners sharing profits or losses equally. They decide to dissolve their partnership. The statement of financial position of the partnership at this date is as follows:

(3)

AB & Co
A

Non-Current Assets

Land and Buildings

200,000

Plant and Equipment

100,000

Current Assets

Inventory

95,000

Receivables

80,000

Cash

120,000

595,000

Partners' Capital account

A

150,000

B

150,000

Partners' Current account

A

110,000

B

75,000

110,000

Liabilities

595,000

Additional Information

- i. The land and buildings are sold for £800,000
- ii. The plant and equipment includes a car at a carrying amount of £30,000. B is to take over the car at an agreed value of £35,000

iv The rest of the plant and equipment was sold for ~~£~~ £90,000.

v The inventory was sold at a reduced price of £93,000 to ensure a quick sale.

vi All of the receivables were collected except for an amount of £5,000 owed by a person who had become bankrupt.

vii Dissolution costs of £8,000 were paid.

Required

Prepare the necessary to dissolve the partnership